

1-B:

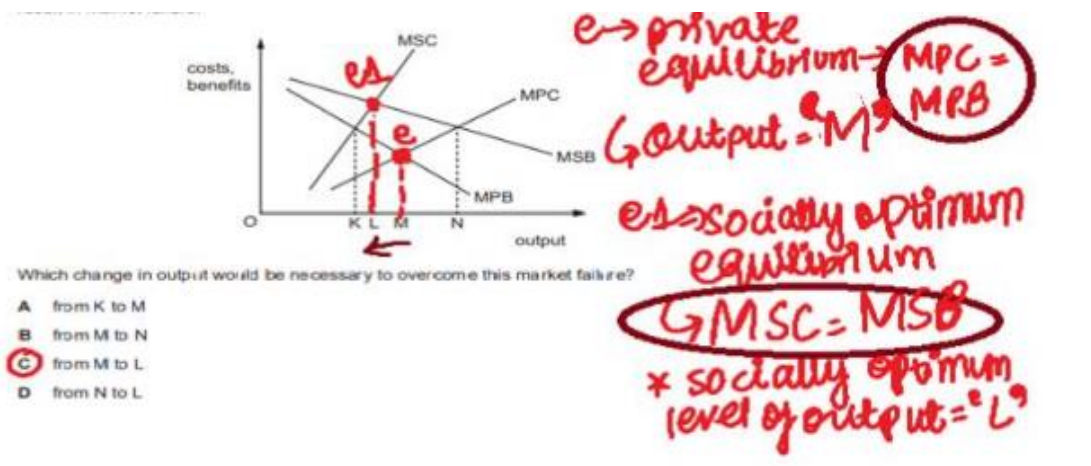
Social benefits include private benefits and external benefits

Social costs include private costs and external costs.

Net social benefits => social benefits-social costs.

An economic activity will create a net social benefit when Social benefit exceeds Social cost, thus giving a positive result. This is why, key B, is correct.

2-C:



3-D:



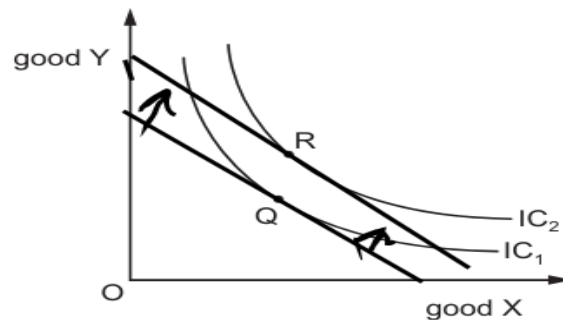
A – A reduction in unemployment will lead to the actual (point “a” inside the PPC) moving closer to the potential shown through “point b”

B – Achievement of productive efficiency will occur when the economy operates on the production possibility curve, shown through point “B” in the diagram above.

C – If there is an elimination of a monopoly in production of good X, this represents that the existing inefficiency in production of good X will reduce, and so, the output of good X will rise.

D- This is correct because attaining the un-attainable point in the short-run (without shifting the PPC) can occur by engaging in international trade. Point "L" can be consumed by importing the quantities of good Y and good X that the country is not capable of producing. This is why, key D, becomes correct.

4-A:



A – Since the consumer is operating at the consumer equilibrium which is the utility maximizing condition for a rational consumer, it can be said that, he is behaving rationally

B – It can be seen above that the budget line is shifting which represents that the money income may have increase.

C – The convex shaped indifference curve represents the concept of decreasing opportunity cost.

D- If the price of good X rose, this would have led to the budget line tilting inwards.

5-C:

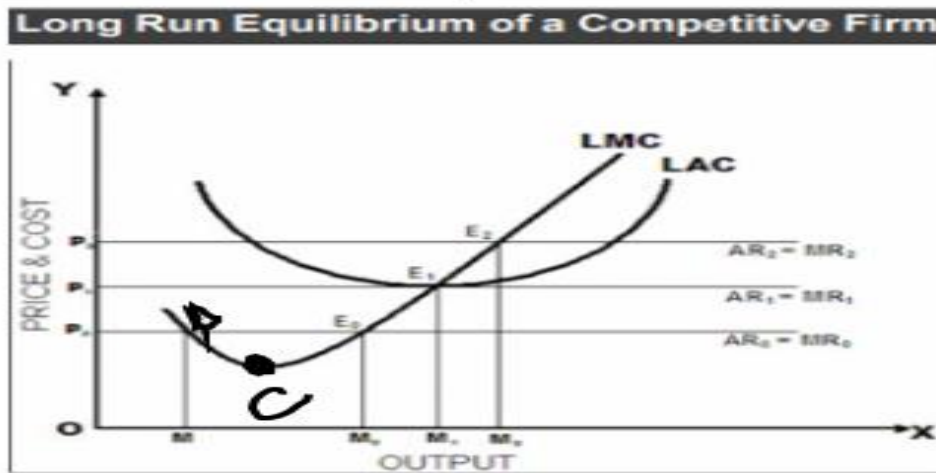
A – This is incorrect because in case of inferior goods, the income effect and the substitution effect move in the opposite direction.

B – This is incorrect because in case of giffen goods, the income effect outweighs the substitution effect.

C – This is correct because in case of normal goods, the income effect and the substitution effect move in the same direction.

D – For normal goods, the income effect does not outweigh the substitution effect. Instead, the income effect and the substitution effect move in the same direction.

6-A:



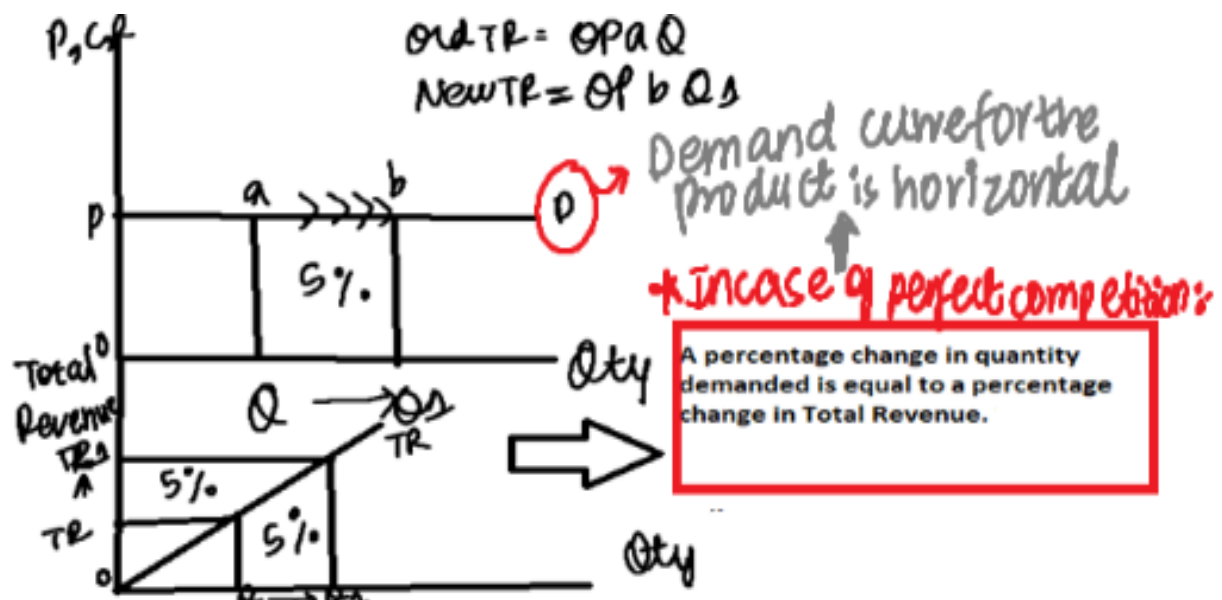
A – At the normal profit equilibrium shown through E_1 (where $AC=AR$), ATC is at its minimum, because that is when $MC=AC$.

B – Average costs do not fall at the normal profit equilibrium.

C – It is at point C that the marginal cost is at its minimum, and this does not represent the normal profit equilibrium.

D – At point D, the marginal cost is seen to fall, but that is not the normal profit equilibrium either.

7-A:



A – It can be seen in the diagram above that it is only in the case of perfect competition that a percentage change in qty demanded is equal to a percentage change in Total Revenue. And, for such a market structure, **the demand curve for the product is horizontal, which represents that prices will be unchanged.** This is why, key A, becomes correct.

B – This does not represent the feature of a “monopolistically competitive market”

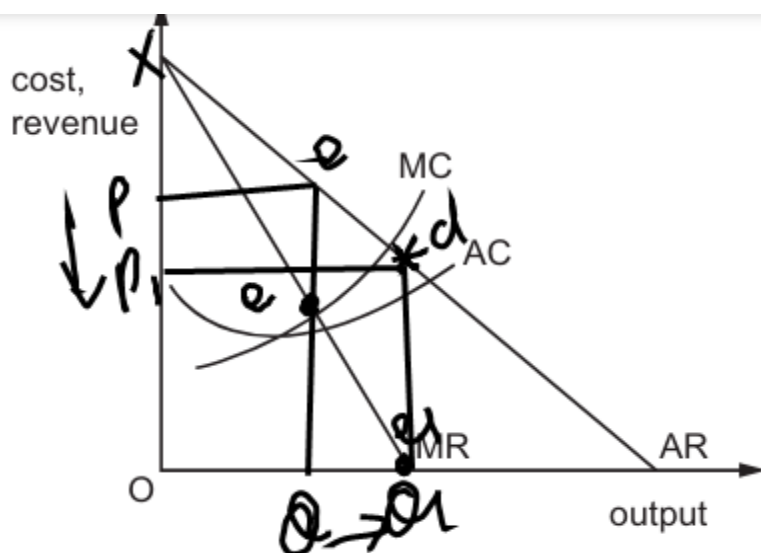
C – Had the PED been “-1”(representing **unitary-elastic demand**), Total Revenue would have remained unchanged. But, in the scenario described above, Total Revenue can change depending upon the change brought in the output or quantity. This is because there is a positive relationship between quantity demanded and Total Revenue, as any percentage change in qty demanded brings about an equal percentage change in Total Revenue.

D – If the supply was “perfectly-inelastic”, in such a case, the output would have been unchanged. This is why, key D, will be incorrect.

8-A:

When the objective changes from profit maximization ($MC=MR$) to sales revenue maximization ($MR=0$), prices fall from P to P_1 , and so the consumer is able to extend quantity demanded from Q to Q_1 . This will subsequently bring about an increase in consumer surplus. This represents that consumers will be winners.

However, the shareholders will be losers because their dividend payouts are linked to profits and not revenues. So when the profits fall, their dividends may also fall.



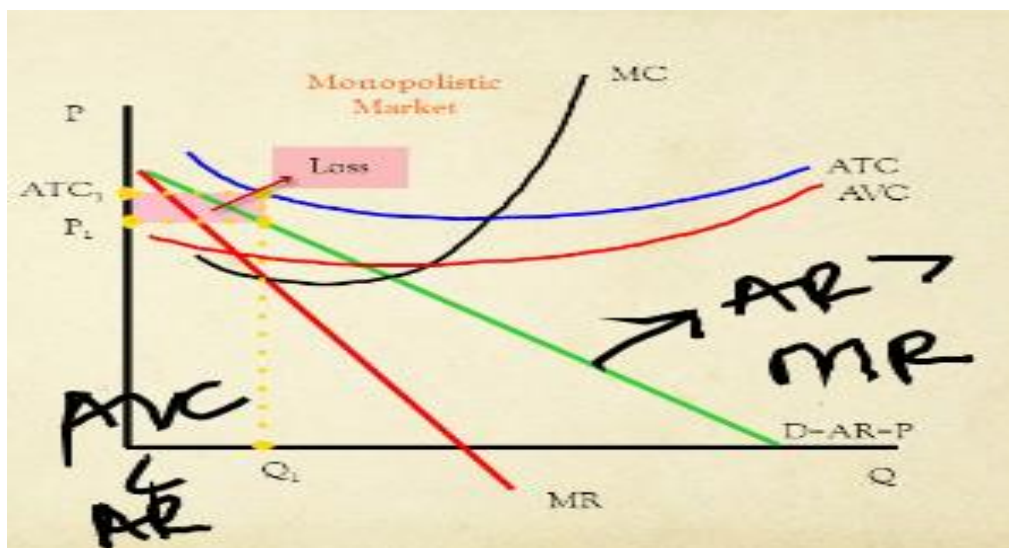
9-A

- A- A **low minimum, efficient to scale point** represents the fact that maximum benefits of economies of scale will be reaped at a lower level of output. This represents that there will be existence of small firms, which is why, key A becomes correct.
- B- Greater scope of specialization means that only large firms will be able to survive in such an industry.
- C- Large firms diversify by producing numerous products and streamlining into different markets to spread their risks.
- D- The principal agent problem occurs in large firms for example: public limited companies where the principal (shareholders) appoints agent (directors) to undertake decision making on their behalf.

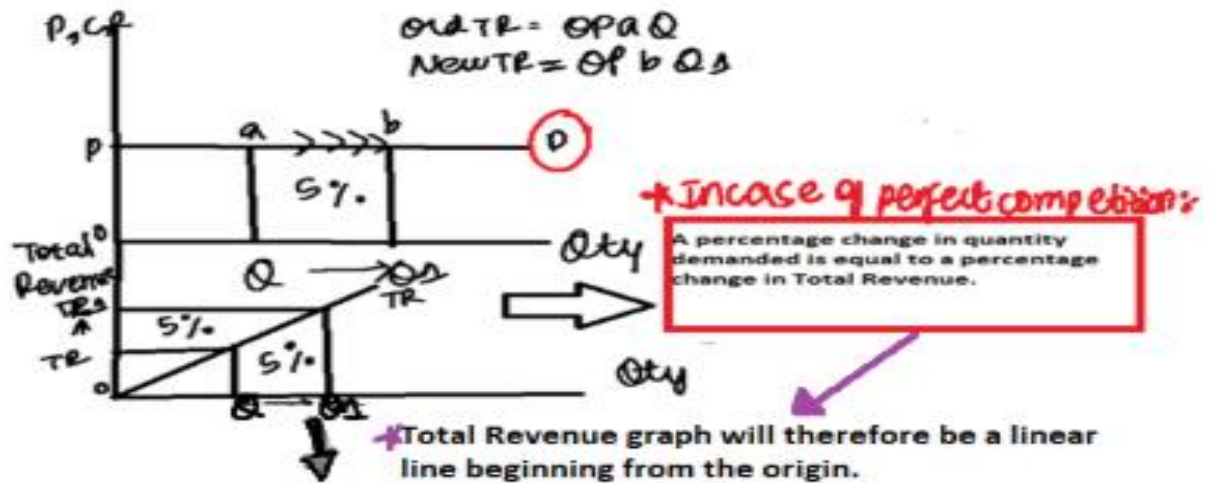
10-D:

Since the firm is operating at the profit maximizing level of output, this represents that $MC=MR$. And the fact that it is making losses indicates that Average costs are greater than Average revenue. But in order to continue operating in the short-run, the Average revenue should be greater than Average variable cost. This is because, in the short-run, a major concern is to cover AVC which forms the greatest proportion of the total costs of a small firm.

This is why, option D, is correct because not only is Average revenue greater than Marginal revenue, but also, Average variable cost is less than Average revenue.



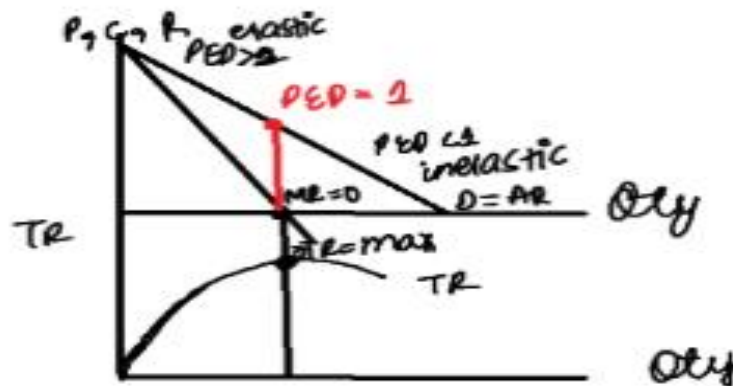
11-C:



C – The diagram explains why key C will be correct.

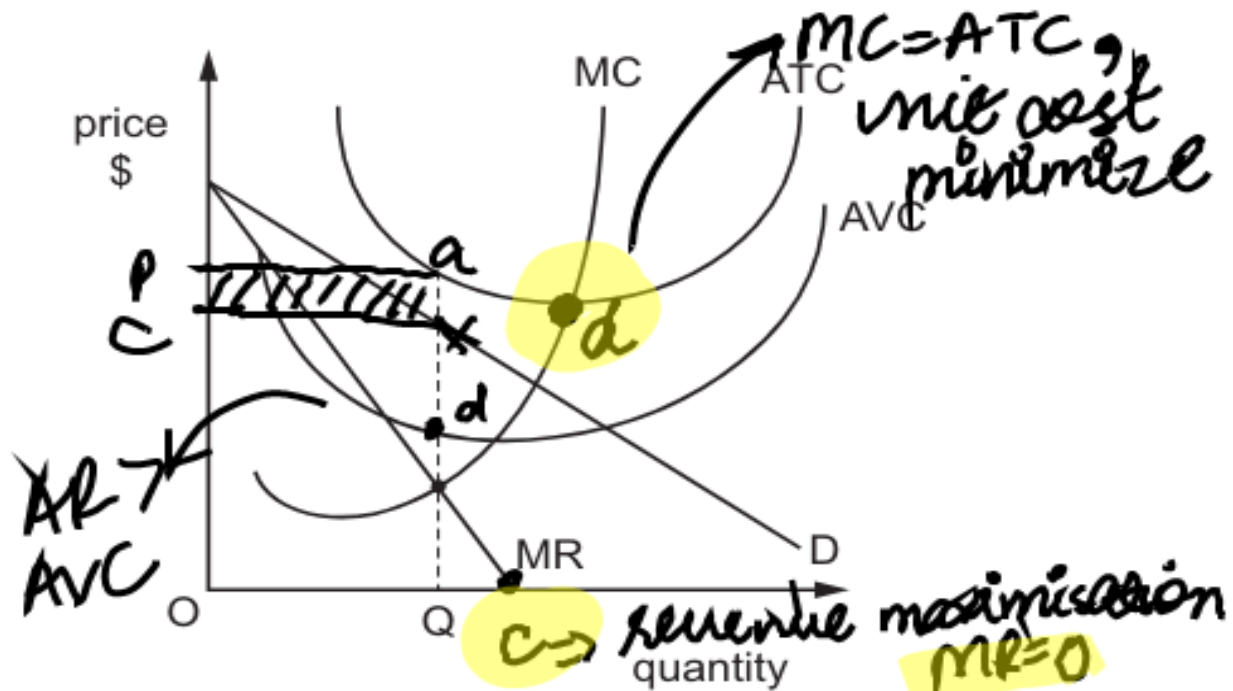
A – This graph shows that Total Revenue is unchanged, which comes under “unitary elastic demand”

B: Option B represents the case of “imperfect competition”, whereby there is a downward-sloping demand curve. This can be seen in the diagram below.



D – This graph is similar to a total cost line.

12-A:



A: Loss minimization occurs when a firm produces a quantity where the average revenue (AR) is less than the average total cost (ATC) but is greater than the average variable cost (AVC). This is because:

1. $AR < ATC$: The firm is not covering its total costs, including fixed costs, so it's making a loss.

2. $AR > AVC$: However, the firm is covering its variable costs (like labor, materials, etc.) and has some contribution towards fixed costs.

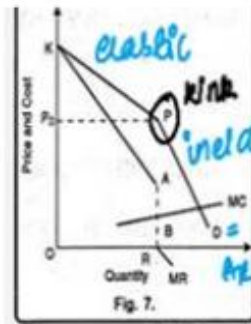
In this situation, the firm minimizes its loss by continuing to produce, as the revenue covers some of the fixed costs. If it shuts down, it would still have to pay fixed costs, so it's better to produce and minimize the loss. This is why, option A is correct.

B – Profit satisficing is when a firm earns a minimum, acceptable level of profits which are enough to keep shareholders happy. This is not shown in the diagram.

C – The revenue maximizing point is point C where $MR=0$, as can be seen in the diagram.

D – Unit costs are minimized at point D where $MC=ATC$.

13-C:



*Price Rigidity
Interdependence*

* The kinked demand curve is a theoretical model to understand how firms might respond to changes in prices
The key features of the kinked demand curve are as follows:

* **Flat and Elastic Range:** Above the kink, the demand curve is relatively elastic. It suggests that if the firm raises its price slightly in an hope to increase total revenues, it will lead to a significant decrease in the quantity demanded by consumers and subsequently, a fall in total revenue, because other firms will not follow, which represents "elastic demand" (since it is a behaviour of one firm) As a result, the firm would lose a substantial portion of its market share.

* **Interdependence** refers to the mutual influence and dependence among firms in an oligopoly market. Unlike perfectly competitive markets, where firms are price takers and have no impact on market prices, in an oligopoly, each firm's actions and decisions can significantly affect its competitors and the overall market.
In the case of the **kinked demand curve**, firms in a **non-collusive oligopoly** closely observe and react to each other's **pricing and output decisions**. They are aware that any change in their price or production levels will trigger responses from their rivals. This interdependence means that firms must consider how their competitors might react to their actions.

Therefore, the prices remain "rigid" at the "kink".

This is because of the concept of "interdependence"

* **Steep and Inelastic Range:** Below the kink, the demand curve is relatively inelastic. It implies that if the firm lowers its price slightly, the change in the quantity demanded will be relatively small, or in other words, the qty demanded will extend by a relatively smaller percentage, because other firms in the industry will follow (representing "inelastic demand"), which results in a fall in total revenue. Competing firms are expected to follow the price reduction, resulting in losses faced by everyone.

This explains why, option C, is correct.

A – Price discrimination involves charging different prices to different consumers for the same product, the reasons of which do not depend on cost, but instead depend on price-elasticity of demand.

B – Price leadership is when the firm with the highest market share who is the brand leader sets the price and all others follow the suit. This is also not shown through the kinked demand curve.

D – The kinked demand curve shows the behavior of a non-collusive oligopoly and not a collusive oligopoly.

14-C:

A – Governments usually increase the top rates of income tax to increase revenues from taxes.

B – Had the government been concerned about emigration of some high income individuals, it would have not increased the level of direct taxation.

C - A government may increase the highest rates of tax on personal income to address issues of equity and fairness. By doing so, they aim to reduce income inequality and redistribute wealth from the richest to the poorest segments of society. This approach prioritizes equity considerations over efficiency concerns, which might suggest lowering taxes to stimulate economic growth.

D – By increasing the top rate of income tax, the government is making the tax system more progressive.

15-A

Incomes: Shift from curve 1 to curve 2

Since income is more evenly distributed than wealth, this represents the Lorenz curve will be closer to the line of perfect equality that is, it should be “1”

But since now, the distribution of income becomes unequal, this represents that the Lorenz curve will diverge further away from the line of perfect equality, that is, it should now shift to “curve 2”

Wealth: Shift from curve 4 to 3.

Since wealth is unevenly distributed than income, this represents that the initial Lorenz curve will be further away from the line of perfect equality that is, it should be “4”

But since now, the distribution of wealth becomes equal, the Lorenz curve will move closer to the line of perfect equality or in other words, it will shift to “3”

This explains why key A will be correct.

16-C:

A) This option is not an example of the behavioral approach of nudge theory. Instead, it's a traditional regulatory approach that forces employers to deduct taxes directly, making it harder for individuals to avoid paying taxes. Nudge theory focuses on influencing behavior through subtle cues, rather than coercion or force.

B) This option is also not an example of nudge theory. Random inspections are a traditional enforcement approach that aims to detect and punish tax avoidance, rather than influencing behavior through subtle cues.

C) This option is an example of the behavioral approach of nudge theory. **By providing information on how taxes are used, the government aims to influence individuals' behavior by appealing to their sense of civic duty and social norms. If people understand how their taxes contribute to public goods and services, they may be more likely to comply with tax laws voluntarily.**

D) This option is not an example of nudge theory. Instead, it's a regulation that aims to deter tax avoidance through fear of punishment, rather than influencing behavior through subtle cues.

17-B:

Transfer earnings represent the minimum amount that needs to be paid to keep a factor of production for example, labor in its current use. In other words, it is the amount that labor would get in its next best paid employment. It is shown through the region below the supply curve. It is **OKLJ**.

Economic rent is the amount that is received in excess of transfer earnings. It is shown through the region above the supply curve and below the wage rate, which in this case is **"JML"**

18-B:

A – If capital and labor were close substitutes, labor would have been **easily replaced with capital on this account.**

B – If labor costs are a small percentage of total costs, the company may be **more willing to maintain employment levels despite the fall in oil prices, as labor costs are not a significant burden.**

This would strengthen the trade union's position in negotiations, as the company may be more open to finding alternative solutions to job cuts.

C – If price of oil fell when its demand was price-inelastic, its quantity demanded would extend by a relatively smaller percentage, as a result of which, total revenue may fall. This will further lead to firms laying off some of its workers.

D - A large supply of labor would actually weaken the trade union's position, as the company could easily replace existing workers with new ones, reducing the union's bargaining power.

19-D:

A – An increase in the level of state benefits paid to the unemployed will increase voluntary unemployment.

B and C: A reduction in interest rates and the level of direct taxation represent expansionary demand side policies, aimed at boosting Aggregate demand, leading to the economy recovering from demand deficient unemployment.

D – Provision of retraining schemes would make the workers more flexible and multi-skilled and also occupationally mobile, because of which, they can easily switch in between occupations especially when the structure of the economy is changing, thereby reducing structural unemployment. This explains why key D will be correct.

20-C:

A - Low exports are not **typically** associated with a relatively low level of income per capita. **In fact, many countries with low income per capita have a high dependence on exports to drive their economy.** A lack of exports might be a result of various factors such as trade restrictions, lack of competitiveness, or limited economic diversification, but it's not a direct indicator of low income per capita.

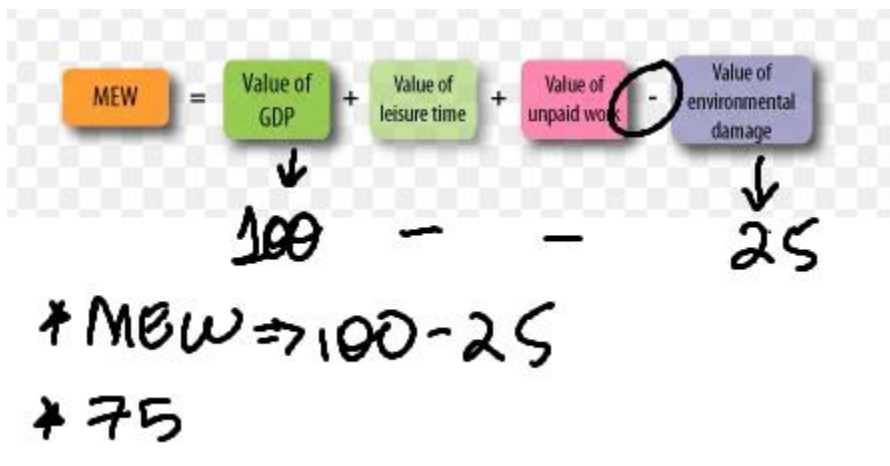
B –Many countries with high income per capita have low inflation rates. Low inflation can be a sign of a stable economy, and central banks often aim to keep inflation within a target range to maintain economic stability.

C - Low investment is a characteristic of a country with a **relatively low level of income per capita**. In this scenario, an initial decrease in autonomous investment of 100 leads to a decrease in Real National Income (RNI) of 500, due to the downward multiplier effect(**the size of downward multiplier in this case is “5”**) This illustrates how low investment can have a ripple effect throughout the economy, leading to a much larger decrease in economic activity. As a result, the economy experiences a contraction, perpetuating a cycle of low economic growth and low income per capita. This example demonstrates how low investment can be a key factor in limiting economic development and income growth in a country. This is why, this becomes correct.

D – A low population would have resulted in a rise in income per capita.

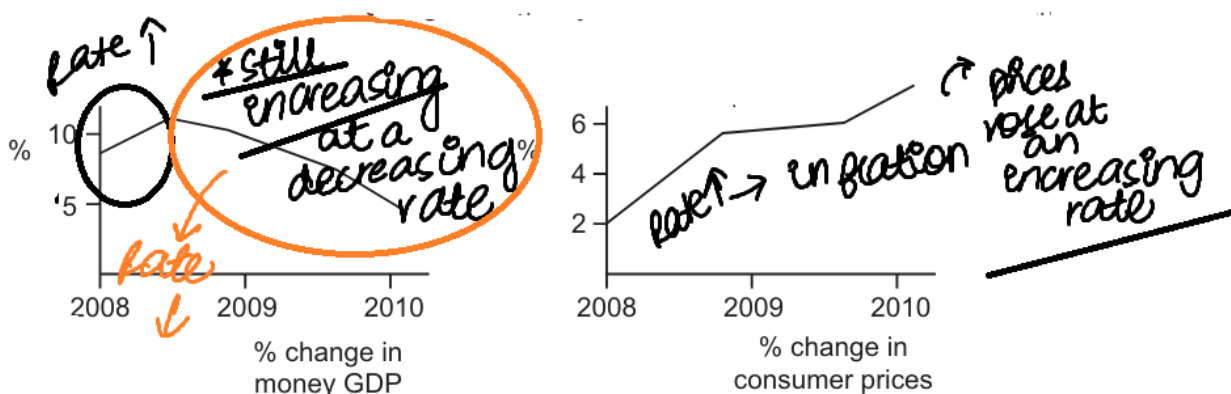
21-D:

- GDP per head (A) would actually increase, as output per head is expanding.
- GNP per head (B) would also increase, as there's no mention of any changes in income earned from abroad.
- Human Development Index (C) might not necessarily decrease, as it considers factors like education and healthcare, which aren't directly affected by pollution.



However, Measure of Economic Welfare (D) would decrease, as it takes into account the negative impact of pollution on living standards. This measure considers not only the increase in output but also the negative externalities like pollution, which would offset the gains from increased output.

22-B:



Both money GDP and consumer prices rose throughout the period. This is why, only key B, can be correct.

23-C:

A – If a short spell of frictional unemployment leads to workers becoming more discouraged, this will be a negative effect.

B – Instead of frictional unemployment, it is **structural unemployment** that allows time for retraining in new skills.

C – This is correct because in the time that workers are unemployed in between jobs, they may search better jobs that fully utilize their potential.

D – This represents that the economic effects of frictional unemployment are greater than psychological effects, which is another disadvantage.

24-B:

disposable family income (\$)	consumption expenditure (\$)	
2000	2150	$\Delta 950$ A
3000	3100	$\Delta 900$ B
4000	4000	$\Delta 850$ C
5000	4850	$\Delta 800$ D
6000	5650	$\Delta 750$ E
7000	6380	$\Delta 730$ E

→ mpc → additional income that goes in consumption.

**mpc keeps on falling continuously*

Handwritten calculations for MPC:

$$\frac{\Delta C}{\Delta Y}$$

A $\rightarrow \frac{950}{1000} \rightarrow 0.95$

B $\rightarrow \frac{900}{1000} \rightarrow 0.9$

C $\rightarrow \frac{850}{1000} \rightarrow 0.85$

D $\rightarrow \frac{800}{1000} \rightarrow 0.8$

E $\rightarrow \frac{730}{1000} \rightarrow 0.73$

25-D:

A – If there is dependence on barter for international trade, this will not overstate the official statistics of income per head.

B – Subsistence agriculture is a farming system in which the farmer grows enough food to feed themselves and their entire families. If an economy engages in subsistence agriculture, this will understate the level of income per head.

C – If exports in services form an important component of income per head data, this will not overstate the value of income per head.

D – If there is a high level of income inequality, it may seem like national income per head is increasing, but in true sense, it is only the rich who is gaining. This creates a misleading picture of overall prosperity, as the majority of the population may earn less than the average income per head, and significant levels of poverty and income inequality may be overlooked. This explains why option D will be correct.

26-B:

Here are the percentage growth rates for the population urbanized:

- More Developed Regions (86 - 75) = 11% increase
- Less Developed Regions (66 - 45) = 21% increase
- Least Developed Regions (55 - 29) = 26% increase

Now, it's clear that the More Developed Regions have the lowest growth rate of urbanization (11%) compared to the other two regions. So, Key B is correct.

Option A is incorrect because it states that the least developed regions have the largest urban populations, actual or predicted, in both years. However, the table shows that in 2010, the less developed regions had the largest urban population (2556 million). Additionally, in 2050, the less developed regions are also predicted to have the largest urban population (5186 million).

Option C is incorrect because it states that the type of region with the greatest total population in 2010 is predicted to have the greatest rate of population growth by 2050. However, the table shows that the less developed regions had the greatest total population in 2010 (5671 million), but the least developed regions are predicted to have the greatest rate of population growth (95.67% increase) by 2050.

Option D

Option D is incorrect because it states that the type of region with the greatest urban population in 2010 is predicted to have the highest level of urbanization by 2050. However, the table shows that the more developed regions had the greatest urban population in 2010 (930 million), but the less developed regions are predicted to have the highest level of urbanization as the population urbanized is expected to increase by 26% between 2010 and 2050. This can be seen above where calculation is performed.

27-D:

- A) Lowering of interest rates to stimulate investment represents the usage of monetary policy. **This is incorrect because the World Bank said that Angola needed to have a fiscal policy.**
- B) The relaxation of regulations may represent a market-oriented supply side policy. **This is incorrect because the World Bank said that Angola needed to have a fiscal policy.**
- C) The spending of the loan supporting its oil industry after oil prices collapsed may not lead to **the second condition of diversification to be fulfilled**. This is because, existing oil industry is being supported.
- D) Since subsidies are given which represent an increase in government spending, it can be said that expansionary fiscal policy is employed. Secondly, since the partnership with a French company will enable to streamline in the tourism industry, this also leads to an increase in diversification. That being said, key D, becomes correct.

28-C:-

In-order to deliberately revalue the currency, i.e. fix the exchange rate against other currencies above the purchasing power parity, the autonomous central bank may have to raise the interest rates.

Revaluation will result in a rise in prices of export-oriented goods in terms of foreign currencies, which may result in contraction in quantity demanded of export oriented goods by a relatively higher percentage when the demand for them is elastic, thereby resulting in a fall in export revenues.

Additionally, when import prices fall, there may be an extension in qty demanded of imported goods, and that too by a relatively higher percentage when the demand for them is elastic, thereby resulting in a rise in import expenditures.

When export revenues fall and import expenditures rise, there will be Balance of trade deficit. Or in other words, the current account position worsens.

This Balance of trade deficit represents net leakages from the circular flow, because of which, when Aggregate demand reduces, there will be a reduction in demand-pull inflation.

29- C:-

- A- An decrease in the level of import tariffs will not only reduce the import expenditures, if inelastic raw materials are imported, but will also lead to a fall in the costs of production of domestic firms, which means that since Aggregate supply increases, the cost push inflationary pressures will fall. Since here, imported inflation will reduce, this option becomes incorrect.

- B- When the exchange rate appreciates, the value of a country's currency increases in relation to other currencies. This makes exports more expensive and imports cheaper. As a result, the balance of trade may move from a surplus to a deficit, since fewer goods and services are being exported and more goods and services are being imported, considering the fact that their PED is elastic. When because of an increase in BOP deficit, Aggregate demand reduces, demand-pull inflation will also fall.
- C- An increase in the level of indirect taxation, after having increased the costs of production of domestic producers, would result in a fall in Aggregate supply, which will subsequently result in an increase in cost push inflation. When because of this, real incomes also fall, spending on imported goods will also subsequently decrease, and a decrease in import expenditures will translate into a reduction in BOP deficit.
- D – A reduction in government spending since results in a fall in Aggregate demand, would lead to a fall in demand pull inflation.

30-D:

Key D: When the level of interest rates rises

- This is related to the **Crowding Out Effect**
- This occurs when government borrowing from the non-bank private sector, by issuing bonds to finance its expenditure, reduces the deposits of individuals in commercial banks and when there is a fall in supply of loans, this will drive up interest rates, making it more expensive for private businesses and individuals to borrow.
- As interest rates rise, private investment and consumption are "crowded out" by, reducing the overall impact of the government's expenditure on national income.
- In other words, the government's increased expenditure is offset by a reduction in private sector activity, due to the higher interest rates.

So, when interest rates rise (key D), the crowding out effect is more likely to occur, reducing the multiplier effect of the government's expenditure and making it less likely to increase national income by the full amount.

However, when the money supply expands (key C), the level of interest may be maintained, which will prevent the crowding out effect from occurring in the first place.

When the marginal propensity to save is reduced (key B), this represents that marginal propensity to consume will increase, which will subsequently increase the value of the multiplier, thereby stimulating Real national income.

Additionally when alongside an increase in government spending, autonomous private sector investment increases (key A), there will be an amplified increase in real-national income because both these factors will increase Aggregate demand.

